

HSU Ke Cheng (Clio) 許可證

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BUSINESS ADDRESS

Department of Economics, Lee Shau Kee Business Building
The Hong Kong University of Science and Technology, Clear Water Bay, Kowloon, Hong Kong

DESIRED RESEARCH AND TEACHING FIELDS

Industrial Organization Theory, Empirical Industrial Organization
Field of concentration: IO Theory and Empirical IO

EDUCATION

Hong Kong University of Science and Technology	
Ph.D. in Economics	2020 – 2027 (expected)
Hong Kong University of Science and Technology	
M.Phil. in Economics	2020 – 2022
Hong Kong University of Science and Technology	
B.Sc. in Mathematics and Economics	2015 – 2019

WORKING PAPERS

- “Designing Return Policy in E-Commerce: The Role of Excess Return and Surplus Extraction” (*Job Market Paper*)

Abstract: Return policy design is central to social welfare, yet its welfare effects are ambiguous when policies jointly shape purchases, prices, and return behavior. Policy effects on social welfare operate through both return discipline and market participation, and the two margins can pull in opposite directions. Strengthening return discipline alone need not raise social welfare: when return rates fall, sellers may raise equilibrium prices and exclude socially efficient purchases. To evaluate alternative return policies, we estimate a structural model of purchase and return decisions using transaction data from a women’s clothing retailer on Taobao that repeatedly switches between retailers’ return shipping insurance (RRSI) and consumers’ return shipping insurance (CRSI). We also simulate return-penalty discount (RPD). Return policy should be tailored to category margins and return-handling costs rather than imposed uniformly.

- “Product Design with Heterogeneous Search Costs”, MPhil thesis, with AU Pak Hung

Abstract: Building on Wolinsky’s (1986) sequential search model with differentiated products, this pa-

per introduces search cost heterogeneity to analyze how firms leverage observable product designs to influence consumer search behavior. In equilibrium, consumers' search patterns form a partitioned structure: those with low search costs tend to seek niche products, while consumers facing higher search costs gravitate toward standardized products. In the case of two product designs, a reduction in search costs may lead to higher prices for both if the endogenous shift in consumer search modes—the composition effect—dominates the search-encouraging effect. Additionally, we demonstrate that prices respond asymmetrically to decreases in search costs based on the relative position within the distribution where the shock occurs.

WORK IN PROGRESS

- “Too Much Unsold Stock?: Environmental Consequences of Price Commitment”, with Kohei Kawaguchi and Kei Kawai

PROFESSIONAL EXPERIENCE

Research:

Research Assistant for Prof. Benjamin Bernard, National Taiwan University (2020)

Teaching:

Lecturer, Math Camp for MSc in Economics, HKUST (2026)

Teaching Assistant Coordinator, Business School, HKUST (2025–2026)

Teaching Assistant, Department of Economics, HKUST (2020–2025)

Macroeconomics, Industrial Organization & Competitive Strategy, Economics of Uncertainty and Information,

Microeconomic Theory I, Microeconomic Theory II

Presentations: (* for scheduled)

HKUST Business School PhD Conference, CEP Brownbag in HKUST, 中国经济学年会夏季论坛*,

APIOC 2023, AMES 2023 NTU Singapore

FELLOWSHIPS AND AWARDS

2020–present Postgraduate Studentship from the HKUST

2022 Red Bird PhD Award

2019 Academic Achievement Medal

2015–2019 University Scholarship (730K HKD)

SKILLS

Technical Skills: R, Python, C++, L^AT_EX, AWS
Languages: English (fluent), Mandarin (native), Cantonese (basic)

REFERENCES
